

ORIGINAL

(S E R V E D)
(November 16, 2004)
(FEDERAL MARITIME COMMISSION)

FEDERAL MARITIME COMMISSION

WASHINGTON, D. C.

November 16, 2004

DOCKET NO. 04-07

TRANS-NET, INC.

v.

FESCO OCEAN MANAGEMENT LIMITED

**NOTICE OF RULINGS AND SCHEDULE ESTABLISHED
AT ORAL ARGUMENT AFTER ORAL ARGUMENT
ON RESPONDENT'S MOTIONS**

An oral argument was heard on November 8, 2004, at the request of respondent FOML who has filed two motions seeking dismissal of the complaint and summary judgment. As indicated in my previous ruling of October 26, 2004 and the notice of oral argument served November 5, 2004, the purpose of the oral argument was to obtain clarification of the positions of the parties to augment the limited record so as to support a possible summary judgment, to concentrate on several key issues relating to the status of certain letters of the Chairman sent to congressional committees

concerning the legal status of respondent FOML, and to discuss the practical problems of litigating damages issues. The following is a brief summary of the rulings made at the conference and the schedule established. In case this summary omits or incorrectly describes the rulings and discussions, counsel may request appropriate corrections.

First I set forth the schedule to be followed before discussing the rulings made, which rulings will explain the reason for the schedule.

December 8, 2004 - Respondent FOML will file its answer to the complaint plus supplementary evidentiary materials and a legal memorandum on the question whether FOML is an NVOCC or VOCC. FOML will also file and serve its counter-complaint directly on Trans-Net's counsel. See 46 C.F.R. 502.64(d).

December 8, 2004 - Complainant Trans-Net shall file its offer of proof under 46 C.F.R. 502.152, to support the legal basis for its allegations that FOML has violated section 10(d)(1) of the 1984 Act.

December 28, 2004 - Complainant Trans-Net shall file and serve its answer to the counter-complaint on FOML's counsel.

January 14, 2005 - Trans-Net shall reply to FOML's supplementary evidentiary materials and legal memorandum. FOML shall reply to Trans-Net's offer of proof.

In addition, counsel agreed to meet and confer on December 17, 2004, to discuss and propose a discovery schedule if they decide to engage in discovery. If they agree on a discovery schedule, they shall submit such schedule to the presiding judge within a reasonable time. Additional prehearing conferences can be scheduled as needed on request.

Dismissals, Tentative Dismissals and Deferred Rulings

It was agreed that of the 10 sections of the 1984 Act that Trans-Net has alleged were violated by FOML, section 10(b)(1) can be dismissed and I therefore dismissed it. The reason is that it is unnecessary to allege both section 10(b)(1) and 10(b)(2)(A) as being violated in a complaint case as they both deal with carriers' not charging their tariff rates and a violation of section 10(b)(2)(A), if proven, could support a claim for reparations without the need to prove the "unfair device or means" that section 10(b)(1) requires. Also, since respondent FOML does not operate under any service contracts, that portion of the complaint that alleges that FOML violated section 10(b)(2)(A) by not following its service contracts is dismissed. In addition, although FOML argues that the complaint is not sufficiently specific as regards the section 10(b)(2)(A) allegation, in order to save time I ruled that I would not order Trans-Net to file a more definite statement or to amend its complaint. Instead, FOML can defend against this allegation by obtaining more information by using the Commission's discovery rules. See Docket No. 03-08, *Trans-Net, Inc. v. FOML*, Dismissal of Complaint, etc., May 13, 2004, at 24-25, 30 S.R.R. 299, 308 (motions for more definite statement discouraged; respondents should use discovery rules).

Rulings on Dismissal of Issues Deferred Pending Disposition of the Question of FOML's Legal Status as a VOCC or an NVOCC

As mentioned in my previous ruling of October 26, 2004, there are some six issues framed in the complaint that cannot be decided on a motion to dismiss because of the undecided underlying key question as to whether respondent FOML is a vessel operating common carrier (VOCC) or a non-vessel operating common carrier (NVOCC). If FOML is found to be an NVOCC, then it could

as a matter of law violate sections 10(a)(1), 19(a), and 19(b), which apply to NVOCCs' attempting to obtain ocean transportation at less than applicable rates by an unfair device or means and require NVOCCs in the United States to obtain licenses and bonds. If FOML is a VOCC, however, these laws do not apply. On the other hand, if FOML is a VOCC, then it is subject to sections 5, 10(a)(2), and 10(a)(3) having to do with agreements that NVOCCs are not eligible to enter into. Until I can determine what kind of carrier FOML is under law, I cannot therefore determine which of these sections applies to FOML. Accordingly, in order not to issue rulings on an inadequate record nor to decide this question prematurely, I advised the parties that I need supplementary evidence and argument. I therefore established the above dates for the parties to file supplementary evidence and legal argument on the question of FOML's status.

Dismissal of the Section 10(b)(3) Allegation

In my rulings served October 26, 2004, I discussed my concern that the allegation in the complaint dealing with FOML's alleged violation of section 10(b)(3) of the 1984 Act might have to be dismissed without further evidence because even if Trans-Net could prove its factual allegations, there was no precedent for applying section 10(b)(3) to such a factual scenario. See rulings cited, at 15-20. Section 10(b)(3) is an anti-retaliation law that forbids a carrier to:

(3) retaliate against any shipper by refusing, or threatening to refuse, cargo space accommodations when available or resort to other unfair or unjust discriminatory methods because the shipper has patronized another carrier, or has filed a complaint, or for any other reason.

Trans-Net alleges that because Trans-Net filed a complaint against FOML, FOML has retaliated against Trans-Net by interfering in Trans-Net's contractual relationships with Trans-Net's employee and former employee and is seeking to obtain confidential information about Trans-Net's business presumably through Trans-Net's former employee. FOML argues, however, that this law does not apply because Trans-Net is not a shipper as regards FOML whatever FOML has allegedly done. FOML also argues that Trans-Net is suing in state court its former employee, who was fired by Trans-Net, seeking to enjoin that former employee, Mr. Tom Madderom, from working for FOML in Russia and asserts that Mr. Madderom has not breached any confidential agreement with Trans-Net.

Whatever the truth of these claims, I noted that the cases interpreting section 10(b)(3) and its predecessors, section 10(b)(5) and section 14 Third of the Shipping Act, 1916, never extended that law to cover allegations of a carrier's hiring another carrier's employee or former employee for the purpose of stifling competition. I cited the Supreme Court's decision in *Federal Maritime Board v. Isbrandtsen Co.*, 356 U.S. 481 (1958), which, among other things, held that the type of forbidden retaliatory activities that Congress had in mind under that law "take their gloss from the abuses specifically proscribed by the section, that is, they are confined to practices designed to stifle outside competition." Ruling at 19, quoting from 356 U.S. at 495. I also cited four Commission decisions in which the Commission declined to apply this particular law to anything like a carrier's hiring a competitor's former employee for anticompetitive reasons. Ruling at 4. Indeed, in the last case I cited, namely, *Western Overseas Trade and Development Corp. v. ANERA*, 26 S.R.R. 1066, 1079 (ALJ 1993), affirmed, 26 S.R.R. 1239 (FMC 1994), the Commission opined that it would apply strict standards to complaints filed under then section 10(b)(5), now section 10(b)(3).

As I explained in my earlier ruling, I could construe Trans-Net's allegations in the light most favorable to Trans-Net as I am required to do under the summary judgment procedure. However, as I also explained, if I find that Trans-Net's underlying legal theory is defective and that further discovery would be useless, I must dismiss this portion of Trans-Net's complaint. I cited case authority to support this observation. Having heard oral argument from counsel for Trans-Net, who argued that the cases I cited, in which the Commission had not found violations of section 10(b)(3) or its predecessors, were distinguishable and that it believes that FOML was indeed retaliating against Trans-Net, which is a shipper in relation to other VOCCs in the subject trade, I am not persuaded that this law can extend to cover the situation that Trans-Net argues to exist, among other reasons, because Trans-Net does not do business with FOML as a shipper and is, in fact, a carrier competing with FOML. I am therefore still of a mind to dismiss the section 10(b)(3) allegation in Trans-Net's complaint. However, for the sake of good order and to prevent multiple appeals to the Commission that will occur at different times because of my other rulings described below, I defer issuing a final dismissal ruling so that Trans-Net need not file its appeal within 22 days of my ruling of dismissal as normally required by 46 C.F.R. 502.227(b)(1). Instead, Trans-Net may file its appeals on all issues subject to automatic appeal at one time. Moreover, as I later observe in regard to the matter of FOML's alleged violation of law for failure to file its previous space charter agreement with PONL, now superseded by filed Agreement No. 011873, Trans-Net can still seek to prove and obtain money damages if it can prove that FOML has violated section 10(b)(2)(A) for failure to charge its tariff rates and that such failure proximately caused Trans-Net to lose business, subject also to the three-year statute of limitation in section 11(g) of the 1984 Act.

Dismissal of the Section 10(d)(1) Allegation
With Right to Make Offer of Proof

The next allegation that I believe should be dismissed because of a defective legal theory is that concerning section 10(d)(1) of the 1984 Act. Trans-Net alleges that FOML violated that law by misrepresenting to the shipping public that FOML is affiliated with the Grand Alliance, an association of VOCCs, and that FOML has obtained cargo by means of this alleged misrepresentation. FOML vigorously objects to the use of section 10(d)(1) in this manner, arguing that it has the right to advertise names of the vessels used in its through service under Article 5.2 of its newly-filed Space Charter Agreement with PONL and has only once inadvertently allowed an improper advertisement in a third-party publication that it was unable to prevent because of publishing deadlines. FOML also argues that Trans-Net nowhere alleges that FOML ever represented that FOML was a member of the Grand Alliance or that any shipper ever booked with FOML because the shipper mistakenly believed that FOML was a member of the Grand Alliance. Also, FOML cites letters to congressional committees from the Commission's Chairman that advise Congress not only that FOML has the right to utilize space on other ocean carriers but also "to advertise those vessels on which it is taking space."

Section 10(d)(1) makes it unlawful for carriers to "fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing or delivering property." In my earlier ruling, cited above, I noted that early decisions of the Commission restricted section 10(d)(1) of the 1984 Act (formerly section 17, second paragraph, of the Shipping Act, 1916) to activities confined to terminal locations. See, e.g., *Los Angeles By-Products Co. v. Barber S.S. Lines*, 2 U.S.M.C. 106, 114 (1939), and subsequent cases following

that decision cited in my ruling. However, in more recent years the Commission has applied section 10(d)(1) to the practices of NVOCCs who have failed to carry out their duties of delivering cargo and have in some instances refused to deliver cargo to shippers and consignees unless the latter paid certain charges or expenses that were properly the responsibility of the NVOCCs. See, e.g., *Bernard & Weldcraft Welding Equipment v. Supertrans International, Inc.*, 29 S.R.R. 1348 (2003), and other cases cited in my ruling.

Having heard oral argument from counsel on the question, I remain unconvinced that the alleged misrepresentations, even if proven, constitute the type of failure to observe reasonable practices in regard to the receipt and handling of cargo within the meaning of section 10(d)(1). Therefore, I intend to dismiss section 10(d)(1) from the case. However, I ruled that Trans-Net could furnish to me and to the Commission an offer of proof pursuant to 46 C.F.R. 502.152 so that the Commission could see for itself what type of evidence Trans-Net believes should be admitted on this issue and whether such evidence is relevant to the law invoked. This offer of proof may be submitted together with Trans-Net's appeals to the Commission and FOML's reply thereto when I issue final rulings so that the Commission will have all matters on appeal submitted at one time.

Problems Relating to Litigation of the Section 10(b)(2)(A) Issue

As indicated above, whatever ultimately happens to the many other issues framed in the complaint, one issue can survive FOML's motions and that issue pertains to Trans-Net's allegation that FOML has failed to adhere to its tariff in violation of section 10(b)(2)(A) of the Act. That law specifies that:

No common carrier, either alone or in conjunction with another person, directly or indirectly, may—(2) provide service in the liner trade that—(A) is not in accordance with the rates, charges, classifications, rules, and practices contained in a tariff published

This law, like its predecessor in the 1916 Act, section 18(b)(3), is one of absolute liability, i.e., the carrier violates this law regardless of its reasons, whether it was negligent or acted deliberately, and does not require proof of an unfair device or means by which the carrier allows the act, in contrast to section 10(b)(1), now dismissed from this case without objection of counsel. As the parties have recognized, to prove that FOML failed to charge its tariff rates (FOML has no service contracts in this trade) requires extensive perusal of shipping documents going back three years to determine whether FOML erred in billing its shippers. The subject trade is not known to be enormous so that the task might not be so burdensome as it would be in some sizeable trade. Moreover, the mere fact of not charging the tariff rates, while subject to civil penalties in a Commission investigation if proven, does not by itself prove that Trans-Net lost business to FOML to any particular shipper-customer. If this issue and the related damages issue are to be litigated, the parties recognize that numerous shipping documents will have to be examined and probably more evidence relating to shippers' booking decisions will have to be elicited.¹ Be that as it may, any person has the right to file a complaint with the Commission even if such person has not suffered any monetary injury and the Commission is by law obliged to investigate the allegations. See *Isthmian S.S. Co. v. United States*, 53 F.2d 251, 253-254 (S.D. N.Y. 1931); *International Freight Forwarders & Custom Brokers Ass'n of New Orleans v. LASSA*, 27 S.R.R. 392, 399

¹Neither party wishes the issue of reparations (money damages) to be bifurcated from the violations issues. Moreover, counsel for FOML indicated that he would be filing a counter-complaint against Trans-Net, thus causing this case to mushroom in size.

(ALJ 1995), and cases cited therein; *Petchem, Inc. v. Canaveral Port Authority*, 23 S.R.R. 974, 987 n. 39 (FMC 1986), affirmed as *Petchem, Inc. v. F.M.C.*, 853 F.2d 958 (D.C. Cir. 1988); sections 11(a), 11(b), 11(g), Shipping Act of 1984.

The perusal of one carrier's shipping records by a competing carrier is a touchy business but it would be subject to the protective order previously issued in this case. Moreover, it might be possible to impose some limits on the scope of the examination in case the task seemed unduly burdensome. After some discovery, it might also be possible to have this case mediated if it appeared that the possible monetary benefits to be derived by Trans-Net or FOML were outweighed by the substantial costs involved in litigating the issue.² In any event, problems relating to discovery will be handled at the appropriate time.

**The Failure-to-File Issue That Was
the Subject of Docket No. 03-08**

As a final matter, counsel discussed the problem of the issue of whether FOML violated sections 5 and 10(a)(2) of the 1984 Act by failing to file an agreement and operating under that unfiled agreement, allegedly causing harm to Trans-Net. The agreement in question was one between FOML and a member of the Grand Alliance known as PONL (P & O Nedlloyd Limited or P & O Nedlloyd B.V.) by which FOML offered a service under its bill of lading from U.S. West Coast ports to Russian Far East ports via transshipment at Busan, Korea. FOML claimed that this

²Section 12(a) of the 1984 Act, 46 U.S.C. app. sec. 1711(a), provides that Commission discovery procedures "to the extent practicable, shall be in conformity with the rules applicable in civil proceedings in the district courts of the United States." Federal Rules 26(b)(1) and (2), governing the scope of discovery, were amended in 1983 and 2000 to place some restrictions on excessive discovery. See discussion in *Exclusive Tug Franchises, etc.*, 29 S.R.R. 763 (ALJ 2002).

agreement fully qualified as a non-exclusive transshipment agreement that was exempted from filing under 46 C.F.R. 535.306(a). Trans-Net disputed FOML's claim to exemption and both parties cited authorities and other support for their contentions. However, when FOML withdrew the agreement and filed its successor agreement (No. 011873) between FOML and PONL, which agreement became effective on April 26, 2004, I dismissed the complaint mainly because the major fact that triggered its filing, the failure of FOML to file the agreement, became moot. The dismissal was without prejudice to the refile of an updated complaint that would more accurately fit the existing situation. See Docket No. 03-08, Dismissal of Complaint With Leave to Amend, etc., May 13, 2004, 30 S.R.R. 299 (ALJ), F.M.C. notice not to review, June 15, 2004.

The dispute over whether the previously unfiled and now replaced FOML-PONL agreement should have enjoyed an exemption from filing under the Commission's regulation, cited above, was rather complicated and turned on interpretation of that regulation and especially whether the two carriers served the ports involved "by direct vessel call," as the regulation required under their type of through-service arrangement via an intermediate port. The arguments of both parties on this issue were discussed in the above ruling and I concluded on pages 11 and 12 of that ruling with the observation that Trans-Net was, in effect, arguing that FOML could not enter into any such agreement with another carrier because FOML was actually an NVOCC in the subject trade. That same issue as to FOML's legal status has emerged in this case as well, as discussed above. I stated in the ruling cited (at 22) that the question of the status of the previous withdrawn agreement under the Commission's regulation was a question of law primarily requiring interpretation of 46 C.F.R. 535.306(a), and that if Trans-Net filed an amended complaint to conform to current reality, it would be necessary for me to decide the legal issue. Having now seen the much enlarged complaint in this

case and the many problems to be handled, I doubt whether any useful regulatory purpose would be served by deciding this old issue relating to a dead agreement. However, counsel for Trans-Net advised that his client still desired to have the issue decided.

The underlying issue as to whether FOML is an NVOCC or a VOCC that would be permitted to enter into such agreements with ocean common carriers is a live one in the instant case and will be decided. The question whether the previous withdrawn agreement between FOML and PONL provided a "direct vessel call" at the various ports in the through service would be relevant were the present FOML-PONL agreement subject to 46 C.F.R. 535.306(a), but FOML is not claiming an exemption from filing its current agreement under that regulation. Moreover, as I have advised the parties on several occasions, the failure to file an agreement has never been held by the Commission to be the proximate cause of monetary damages to a complaining party. I have cited four Commission decisions in which the failure to file an agreement or a rate in a tariff were found not to constitute proximate causes of damages to the complaining parties. The cases were: *Prudential Lines, Inc. v. Farrell Lines, Inc.*, 22 S.R.R. 1054 (FMC 1984); *Prudential Lines, Inc. v. Farrell/Zim*, 22 S.R.R. 826 (1984); *Puget Sound Tug & Barge Co. v. Foss Launch & Tug Co.*, 5 S.R.R. 67 (1964); and *Carton-Print, Inc. v. Austasia Container Express SS Co.*, 17 S.R.R. 571, 578-581 (1977). See also *James J. Flanagan Shipping Corp. v. Lake Charles Harbor and Terminal District*, 28 S.R.R. 1563, 1571 (I.D.), affirmed, 30 S.R.R. 9 (2003) (reparations denied; complainant failed to show proximate cause and explain how other lawful factors affected complainant's financial situation); *Rose Int'l, Inc. v. Overseas Moving Network Int'l, Ltd.*, 29 S.R.R. 119, 187-190 (2001) (reparations denied; complainant furnished only unreliable, speculative evidence and failed to consider competition and other market factors).

In addition to the above, I noted that the Commission has recently declined to clarify the non-exclusive transshipment regulation at issue in Docket No. 03-08 as to what is meant by “direct vessel call.” See Docket No. 03-15 - *Ocean Common Carrier and Marine Terminal Operator Agreements Subject to the Shipping Act of 1984*, October 28, 2004, at 21-28, and page 26 (“It is not the Commission’s intention to create a definition for the term ‘direct vessel call.’”). Considering the fact that the Commission has declined to clarify the regulation in question as described above, the lack of any indication that FOML intends to reactivate its previous agreement with PONL, and the further fact that Trans-Net has alleged violations of section 10(b)(2)(A), which, if proven and if proximate cause of financial injury to Trans-Net were shown, could authorize the Commission to award Trans-Net monetary compensation, I doubt the need to expend time and deliberation on this old issue.³ However I reserve the right to reconsider this matter when the evidentiary record is complete and the NVOCC-vs.-VOCC issue can be decided.

Summary of Above Rulings

The following summarizes the above rulings.

Section 10(b)(1) is dismissed without objection.

³There are other considerations militating against my deciding this old issue. For example, the Commission acknowledged in its Notice of Proposed Rulemaking in Docket No. 03-15 (at 65) that it wished to “clarify the Commission’s view of what constitutes a transshipment agreement” and recognized that changes in the shipping industry had occurred that warranted the commencement of its rulemaking proceeding. If that is so, there might be due-process problems if the Commission were to rule that FOML, which had believed that it had complied with the exemption regulation and had received no objection from the Commission’s staff, was nevertheless in violation of the regulation and subject to civil penalties. See, e.g., *Mediterranean Pools Investigation*, 6 S.R.R. 975, 1012 (1966) (inequitable to make policy retroactive so as to harm party who had relied on previous construction of applicable law). Finally, the Commission itself has declined to continue a proceeding to determine if penalties should be assessed after respondents had discontinued the practice with no likelihood of its resuming. See *ANERA and its Members—Opting Out of Service Contracts*, 28 S.R.R. 1215, 1231 (1999) (delay and expense of determining issue of first impression with hearings on penalties would provide neither relief nor benefit to shippers).

Rulings on the motion to dismiss sections 5, 10(a)(1), 10(a)(2), 10(a)(3), 19(a) and 19(b) are deferred pending supplementation of the record on the question whether respondent FOML is a VOCC or an NVOCC.

Section 10(b)(3) will be dismissed without the need for more evidence as being inapplicable to the current factual situation as alleged by Trans-Net under case law.

Section 10(d)(1) will be dismissed as being inapplicable under case law but Trans-Net is permitted to file an offer of proof pursuant to 46 C.F.R. 502.152, so that the Commission can decide if Trans-Net's proposed evidence is relevant to that law and whether that law is applicable. FOML may file a reply to Trans-Net's offer of proof.

Section 10(b)(2)(A) is not dismissed. However, there are significant problems of proof of monetary damages assuming that Trans-Net can prove that FOML did not charge its tariff rates and that such violation proximately caused Trans-Net to lose cargo to FOML. Such problems include the scope of discovery that Trans-Net will employ.

The failure to file a previous space charter or transshipment agreement that FOML argues to have been exempt from filing under 46 C.F.R. 535.306(a) is an issue that does not appear any longer to be alive or necessary to decide because FOML has filed a successor agreement with the Commission. However, this ruling is subject to reconsideration when the record is more fully developed.

Because Trans-Net has the right to appeal dismissals of its complaint in whole or in part within 22 days of a ruling of dismissal and because the above dismissals consisted of mixed final and tentative rulings, some of which do not become final until the parties complete their filings on January 14, 2005, the above dismissals should not be considered final and ripe for appeal until I can

issue final rulings. This procedure will allow the Commission to consider all dismissals and supplementary materials at one time and ensure orderliness to the proceeding. See 46 C.F.R. 502.10. Of course, the section 10(b)(2)(A) issue is not dismissed and litigation may continue as to that issue without awaiting my final rulings on the other issues.

Norman D. Kline

Norman D. Kline
Administrative Law Judge